

## Multiple Choice

1. **Answer:** A

*Options:* A) 10; B) 5; C) 0.5; D) 3; E) 2

*Note:* Correct option: A - 10

2. **Answer:** E

*Options:* A) Smith's principle is outdated; B) Smith's principle relies on the assumption of unlimited natural resources; C) Government intervention is always necessary; D) The "invisible hand" is countered by the presence of monopolies and oligopolies; E) Perfect competition is required for Smith's principle to be completely effective

*Note:* Correct option: E - Perfect competition is required for Smith's principle to be completely effective

3. **Answer:** A

*Options:* A) Real interest rate decreases by 2%; B) Real interest rate more than doubles; C) Real interest rate decreases; D) Real interest rate increases; E) Real interest rate is halved

*Note:* Correct option: A - Real interest rate decreases by 2%

4. **Answer:** A

*Options:* A) A consumer gets a pizza for free.; B) The federal government has taken in more revenue than it has paid out in expenditures.; C) The total amount a consumer is willing to pay for a pizza is less than the market price.; D) A consumer pays less for a pizza than the cost of its production.; E) It refers to a consumer who no longer has any outstanding debts.

*Note:* Correct option: A - A consumer gets a pizza for free.

5. **Answer:** C

*Options:* A) unemployment will rise.; B) taxes will have to be raised.; C) the equilibrium price level will rise.; D) government spending on important programs will have to be cut.

*Note:* Correct option: C - the equilibrium price level will rise.

## True / False

6. **Answer:** True

*Options:* A) True; B) False

*Note:* LLM-generated true statement based on MCQ.

7. **Answer:** False

*Options:* A) True; B) False

*Note:* LLM-generated false statement. Correct answer: 'a decrease in net exports'.

8. **Answer:** True

*Options:* A) True; B) False

*Note:* LLM-generated true statement based on MCQ.

9. **Answer:** False

*Options:* A) True; B) False

*Note:* LLM-generated false statement. Correct answer: 'H 0 is rejected'.

10. **Answer:** False

*Options:* A) True; B) False

*Note:* LLM-generated false statement. Correct answer: 'Large number of competitors, product differentiation, free entry and exit'.

## Long Form Response

11. **Answer:** MC intersects AVC and ATC at their average points.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

*Note:* Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** You buy a 1957 Chevy from a friend.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

*Note:* Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

*End of Answer Key*